

4.2. Short-to-Medium Term Trend Analysis

❖ Trend analysis for the last 12 months for:

➤ **Manufactured Products**

Non-uniform trend | Inflation observed in 5 out of 9 months | Generally low inflation

➤ **Primary Articles (Food only)**

Non-uniform trend | Inflation noted in 4 out of 9 months | Highest inflation amongst categories

➤ **Fuel and Power**

Trend typically negative | Inflation seen in 3 out of 9 months | Low inflation overall

➤ **Full WPI (All Commodities)**

Peak inflation in July 2023

❖ **YoY and MoM trend analysis of WPI** (to identify periods of intense inflation.)

➤ *2023 July: WPI Month-on-Month (MoM) peak*

➤ *2022: Peak Year-on-Year (YoY) WPI*

Methodology: Calculate Year-over-Year (YoY) and Month-over-Month (MoM) inflation rates for all categories, applying a time-series decomposition to isolate trend and seasonality.

4.4. Weight-Influence Relationship

❖ **Do commodity weights affect the influence a particular commodity has on WPI?**

❖ **Relationship examined between correlation coefficient and weight of a commodity**

Total commodities: 838 | Low-weight & high correlation: 698 | WPI is biased towards 140

4.5. WPI-CPI Linkage and Predictive Power

❖ **Exploring the relationship between WPI and CPI**

❖ **Are trends in WPI (YoY and MoM) reflected in CPI?**

➤ *Generally, when WPI shows inflation, CPI also exhibits inflation*

➤ *However, WPI deflation does not necessarily lead to CPI deflation*

❖ **Can WPI help predict CPI trends, especially when CPI crosses the threshold of 2-4%?**

➤ *CPI breaching (2, 6) % threshold is not directly affected by WPI trends*